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guidelines for a budgetary policy. "*Budget for a surplus, if possible, balances the budget at other times, but never budget for a deficit.*" Valluvar advocates the following main items of public expenditure: 1) Defence 2) Public Works and 3) Social Services.

e. External Assistance

Valluvar was against seeking external assistance. According to Kural No. 739, countries taking external assistance are not to be considered as countries at all. In other words, he advocated a self-sufficient economy.

f. Poverty and Begging

Valluvar consideres freedom from hunger as one of the fundamental freedoms that should be enjoyed by every citizen. According to him 'poverty' is the root cause of all other evils which would lead to ever-lasting sufferings. It is to be noted that the number of people living below poverty line, begging, sleeping on the roadsides and rag picking in India has been increasing.

g. Wealth

Valluvar has regarded wealth as only a means and not an end. He said, "Acquire a great fortune by noble and honorable means." He condemned hoarding and described hoarded wealth as profitless richness. To him industry is real wealth and labour is the greatest resource.

h. Welfare State

Thiruvalluvar is for a welfare state. In a welfare state there will be no poverty illiteracy, disease and industry. The important elements of a welfare state are 1) perfect health of the people without disease 2) abundant wealth, 3) good crop 4) prosperity and happiness and 5) full security for the people.

7.8.2 Mahatma Gandhi

Gandhian Economics is based on ethical foundations. In 1921, Gandhi wrote, "Economics that hurts the moral well-being of an individual or a nation is immoral, and therefore, sinful." Again in 1924, he repeated the same belief: "that economy is untrue which ignores or disregards moral values".

Salient Features of Gandhian Economic Thought

1. **Village Republics**: To Gandhi, India lives in villages. He was interested in developing the villages as self-sufficient units. He opposed extensive use of machinery, urbanization and industrialization.
2. **On Machinery**: Gandhi described machinery as 'Great sin'. He said that "Books could be written to demonstrate its evils… it is necessary to realize that machinery is bad. Instead of welcoming machinery as a boon, we should look upon it as an evil. It would ultimately cease.
3. **Industrialism**: Gandhi considered industrialism as a curse on mankind. He thought industrialism depended entirely on a country's capacity to exploit.
4. **Decentralization:** He advocated a decentralized economy, i.e., production at a large number of places on a small scale or production in the people's homes.
5. **Village Sarvodaya:** According to Gandhi, "Real India was to be found in